Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

ALTERNATIVE INVESTMENT STRUCTURES

Learning Outcome

- describe investment ownership and compensation structures commonly used in alternative investments

Beyond the direct or indirect method of investing in alternatives, the illiquidity, complexity, and long-term nature of these investments require more complex structures to bridge potential gaps between manager and investor interests. Alternative investment structures may explicitly address both the roles and responsibilities of investors and managers to address these gaps. In addition, alternative investment structures tailor the distribution of returns between these two parties to better align the incentives (or interests) between manager and investor.

For example, managers may require investors to be responsible for future capital contributions, while investors may place restrictions on manager investment selection to avoid conflicts of interest or hostile takeovers among other investment criteria. Performance-based compensation structures, which can include minimum return requirements for investors, delayed payouts, and/or the ability to reclaim incentive compensation in the event of poor fund performance, encourage managers to maximize returns in the best interest of investors.

Alternative Investment Ownership and Compensation Structures

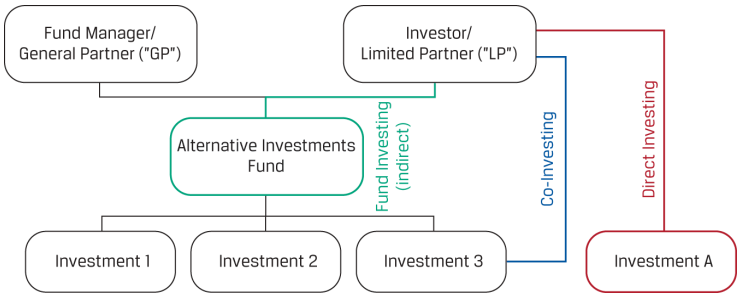
In this section, we discuss the ownership and compensation structures of alternative investments.

Ownership Structures

Alternative investment vehicles often take the form of partnerships in order to maximize flexibility in the investment structure to allocate business risk and return and to distribute special responsibilities between investors and managers as required. Limited partnerships, introduced in a corporate issuer lesson, involve at least one general partner (GP) with theoretically unlimited liability who is responsible for managing the fund. Limited partners (LPs) are outside investors who own a fractional interest in the partnership based on the amount of their initial investment and the terms set out in the partnership documentation. Exhibit 4 shows the basic GP/LP structure together with the various investment approaches (fund, co-investment, direct) introduced earlier.

Exhibit 4:

Basic GP/LP Structure and Various Investment Approaches

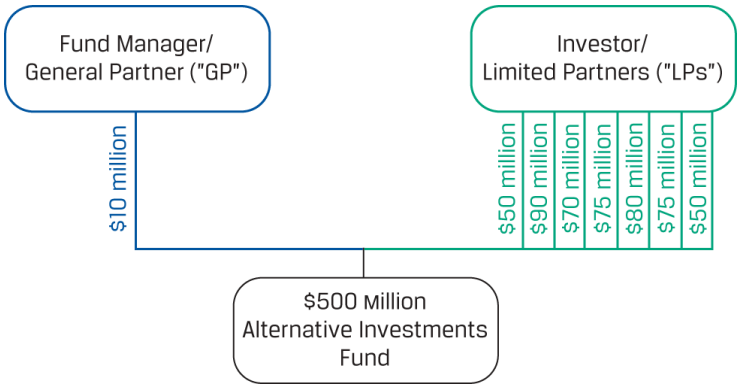


involved with the management of the fund (although co-investment rights allow for the LP's to make additional direct investments in the portfolio companies); the operations and decisions of the fund are controlled solely by the GP.

Limited partners (LPs) have their liability capped at the amount of their investment in the partnership, as shown in Exhibit 5.

Exhibit 5:

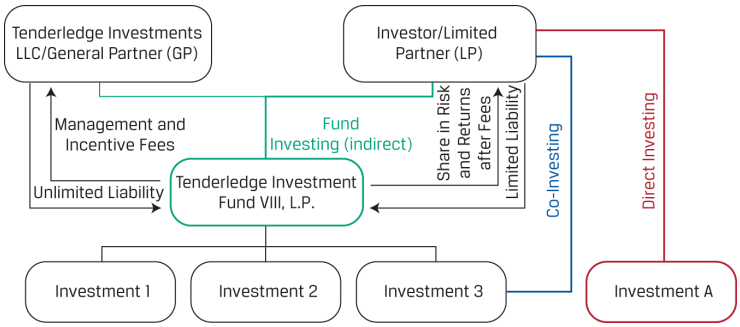
Example Limited Partnership Structure



A restricted number of limited partners hold a fractional interest in the fund. LP investors must generally meet certain minimum regulatory net worth, institutional, or other requirements, as so-called **accredited investors**, to access these investments, which are less regulated than general public offerings. The GP (Tenderledge Investments LLC in Exhibit 6) agrees to manage the fund's operations under an agreed standard of care and perform such activities as buying or selling assets, borrowing funds, establishing reserves, or entering into contracts on behalf of the fund.

Exhibit 6:

Limited Partnership (Tenderledge Investment Fund)



▶ Expand / collapse Extended Description

A GP may manage multiple funds at a time. A **limited partnership agreement (LPA)** establishes terms of an LP as governed by a limited partnership agreement.

Key features of an LPA include the distribution of profits and losses (covered in detail below); manager roles and responsibilities, such as investment criteria and restrictions; and terms governing transfers, withdrawals, and dissolution of the agreement.

Adjustments to LP terms are sometimes made to address the unique legal, regulatory, or reporting requirements of a specific investor. In this case, a supplemental document

Rate Your Confidence

Category
Alternative Investment Features, Methods, and Structures

Related Questions:
Practice questions related to this topic

of refusal and other similar clauses to outline potential treatment (regarding fees, co-investment rights, secondary sales, and potentially other matters) in comparison to other LPs; ability to forgo a contractual capital contribution (known as an excusal right); or ability to receive additional investment reporting. One feature of a side letter might include a "most favored nation" clause ensuring any more favorable or additional terms negotiated outside of the LPA with other investors will also apply to a particular LP. The customized features of the LPA and any side letters stand in contrast to a standardized indenture applicable to all bond investors in the case of public fixed-income securities.

Different specialized structures are commonly adopted for other alternative investments. For example, infrastructure investors frequently enter into public–private partnerships, which are agreements between the public sector and the private sector to finance, build, and operate public infrastructure, as shown in Exhibit 7. Exhibit 8 shows the PPP structure for PT Indonesia Infrastructure Finance (IIF), as discussed in Example 2.

Exhibit 7:

Public–Private Partnership

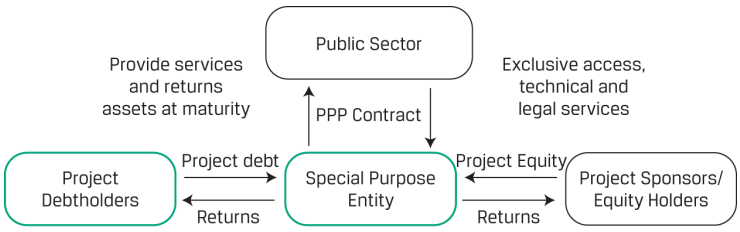
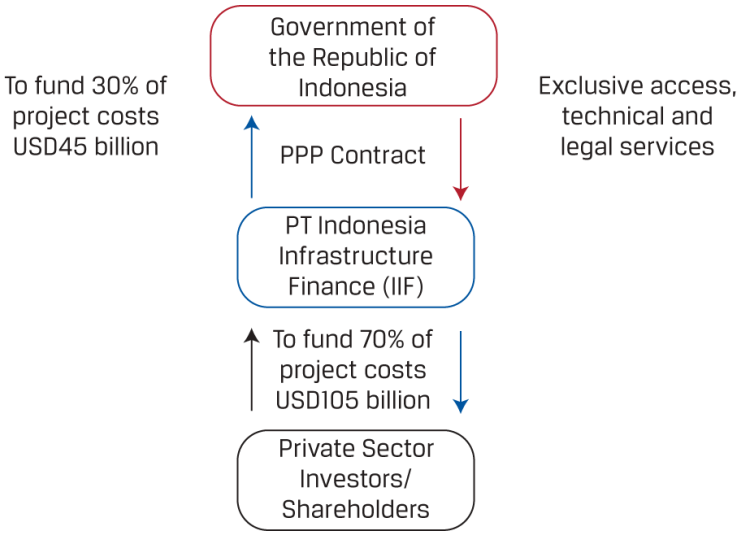


Exhibit 8:

Public–Private Partnership Structure of IIF



▶ Expand / collapse Extended Description

Infrastructure projects often involve a special purpose entity that raises borrowed and ownership capital for the construction and operation of a specific road, bridge, or other long-lived asset under the terms of a concession agreement, after which the asset is sold or returned to a public sector entity.

Real estate or natural resource fund investors are often classified as unitholders in what is referred to as a **master limited partnership (MLP)**, which has similar features to the

In the case of direct real estate investments, joint ventures are also a common partnership structure. Infrastructure and real estate will be discussed further in a subsequent alternative investment learning module.

Compensation Structures

The asymmetry in information between the general partner, with specialized knowledge and control, and the limited partners in alternative investments means that more complex compensation structures are usedto better align general and limited partner incentives. Most funds that own public equity or debt securities charge management fees as a fixed percentage of assets under management. Alternative investment funds, in contrast, usually combine a higher management fee (often 1%–2% of assets under management) with a **performance fee** (also referred to as an incentive fee or **carried interest**) based on a percentage of periodic fund returns.

While hedge funds and REITs typically charge a management fee on assets under management, private equity funds often levy this fee on **committed capital**, which consists of the total amount that LPs have promised to fund future investments. Private equity funds raise committed capital and draw down on those commitments, generally over three to five years, when they have a specific investment to make. The life of a typical private equity fund is 10 years. Note that the management fee is typically based on committed capital, *not* invested capital; the committed-capital basis for management fees is an important distinction from hedge funds, whose management fees are based on assets under management (AUM). Using committed capital as the basis for management fee calculations reduces the incentive for GPs to deploy the committed capital as quickly as possible (in order to increase near-term management fees). This allows the GPs to be selective about deploying capital into investment opportunities. In addition, since the GP has so much influence on the value of the assets, it would be inappropriate to pay management fees on the basis of the value of assets under management.

Performance fees are often subject to a minimum fund return or **hurdle rate** (also known as a "preferred return"), as well as other modifications, to align manager incentives as closely as possible with those of investors over long investment periods. Hurdle rate agreements sometimes distinguish between a **hard hurdle rate**, where the manager earns fees on annual returns in excess of the hurdle rate, or a **soft hurdle rate**, where the fee is calculated on the entire return when the hurdle is exceeded. With a soft hurdle, GPs are able to catch up performance fees once the hurdle threshold is exceeded.

If we ignore management fees and assume a single-period fund rate of return of r, a hard hurdle rate of r_h, and a GP performance fee (p) as a percentage of total return, then the GP's rate of return (r_{GP}) is as follows:

$$r_{GP} = \max[0, p(r - r_h)]. \qquad 1$$

For example, if a fund earns r of 18% over a period and receives a performance fee of 20% (p) of returns in excess of the hurdle rate, r_h, of 8%, then r_{GP} is equal to 2%:

$$2\% = \max[0, 20\%(18\% - 8\%)].$$

Performance fee modifications include rewarding managers for exceeding the hurdle rate or generating returns on specific deals or penalizing them by limiting or requiring the return of performance fees for declining performance over time. The acceleration of performance fees once a fund exceeds the soft hurdle rate is known as a **catch-up clause**, as illustrated in Exhibit 9. Under the catch-up clause using the prior example, the GP earns an *immediate* 2% (catch-up return of r_{cu}) once the hurdle is exceeded, resulting in a 1.6% higher return than without the catch-up feature. In other words, the LP will receive 100% of all cash distributions until it earns the hurdle rate of 8%. Then, the GP will receive 100% of distributions until the split of profit is 80%/20%. The remaining distributions will be split 80%/20%. The GP's rate of return (r_{GP}) from Equation 1 with a catch-up clause becomes

$$r_{GP} = \max[0, r_{cu} + p(r - r_h - r_{cu})]. \qquad 2$$

Rate Your Confidence

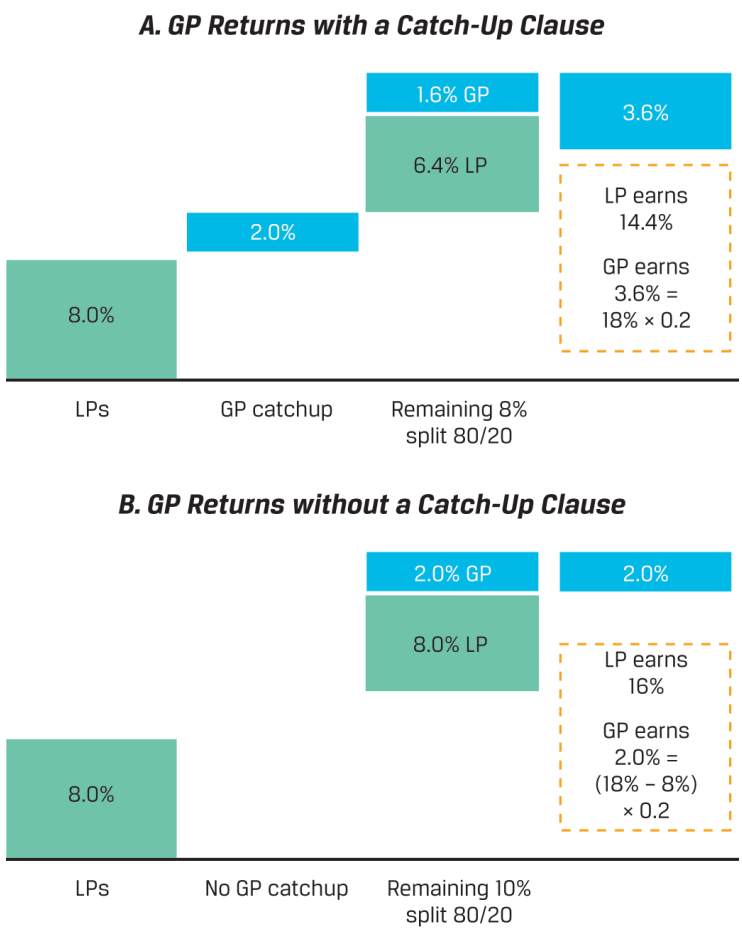
Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Catch-Up Clause Illustration



Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

In other instances, managers are penalized with fee reductions in cases of poor or declining performance. One example of this in the case of hedge funds is the use of a so-called **high-water mark**, which reflects the fund's peak value as of a performance calculation date net of fees. If the fund's value subsequently declines below the high-water mark, the hedge fund manager may not charge performance fees until the fund value exceeds the previous high-water mark. The use of high-water marks seeks to reward managers for sustained performance and protect LPs from paying twice for the same returns.

A **clawback** provision, in contrast, actually grants LPs the right to reclaim a portion of the GP's performance fee. Clawback provisions are usually activated when a GP exits successful deals early on but incurs losses on deals later in the fund's life. For most alternative investments, investor high-water marks carry over into new calendar years, but in the case of hedge funds, an investor may no longer claw back incentive fees paid for a prior calendar year if portfolio losses are incurred later. Given the generally more illiquid and longer-term nature of their holdings, private equity and real estate investments are more likely to contain clawback clauses for the entire life of the portfolio.

Finally, as in the case of asset-backed securities described in fixed-income lessons, alternative investments often use a waterfall structure to determine the distribution of cash flows to GPs and LPs. In alternative investments, GPs usually receive a disproportionately larger share of the total profits relative to their initial investment, which incentivizes them to maximize profitability.

There are two types of waterfalls: *deal-by-deal* (or *American*) waterfalls and *whole-of-fund* (or *European*) waterfalls.

entire fund.

- In whole-of-fund waterfalls, all distributions go to the LPs as deals are exited and the GP does not participate in any profits until the LPs receive their initial investment and the hurdle rate has been met. In contrast to deal-by-deal waterfalls, whole-of-fund waterfalls occur at the aggregate fund level and are more advantageous to the LPs.

Exhibit 10 and Exhibit 11 illustrate how the cash flow to the GP differs in a deal-by-deal waterfall with a clawback provision versus a whole-of-fund waterfall, respectively. In the first instance, the fund initially grants the GP payouts of $2 million, $3 million, and $8 million because Investments 1, 2, and 3 generate a profit when sold. However, all subsequent investments either break even or return a loss, meaning that over the course of the fund's life, it breaks even at an aggregate level. Thus, the GP must return all early payouts, to compensate for subsequent losses.

Exhibit 10:

Deal-by-Deal (American) Waterfall Example—with Clawback Provision

	Year		Amount ($mm)		Profit		
Investment no.	Invested	Sold	Invested	Sold	$mm	%	GP at 20%
1	1	4	$10	$20	$10	26.0%	$2
2	2	5	$20	$35	$15	20.5%	$3
3	2	7	$40	$80	$40	14.9%	$8
4	3	7	$20	$20	—	—	—
5	3	8	$35	$25	($10)	neg	($2)
6	4	9	$25	$20	($5)	neg	($1)
7	5	9	$30	$—	($30)	neg	($6)
8	5	10	$20	$—	($20)	neg	($4)
Total	1	10	$200	$200	—	—	—

In the second instance, the GP would receive no payouts until the LPs have received their initial investment and the hurdle rate has been met at the aggregate level. Since the fund only breaks even at the aggregate level, the GP would receive no performance payouts.

Exhibit 11: Whole-of-Fund (European) Waterfall Example

	Year		Amount ($mm)		Profit		
Investment no.	Invested	Sold	Invested	Sold	$mm	%	GP at 20%
1	1	4	$10	$20	$10	26.0%	—
2	2	5	$20	$35	$15	20.5%	—
3	2	7	$40	$80	$40	14.9%	—
4	3	7	$20	$20	—	—	—
5	3	8	$35	$25	($10)	neg	—
6	4	9	$25	$20	($5)	neg	—
7	5	9	$30	$—	($30)	neg	—
8	5	10	$20	$—	($20)	neg	—
Total	1	10	$200	$200	—	—	—

Question Set

B. equally complex as those of traditional investments.
C. more complex than those of traditional investments.

Hide Solution

Solution:

C is correct. The illiquidity, complexity, and long-term nature of alternative investments require more complex structures to bridge potential gaps between manager and investor interests. Alternative investment structures may explicitly address both the roles and responsibilities of investors and managers to address these gaps. In addition, alternative investment structures tailor the distribution of returns between these two parties to minimize the divergence of incentives between manager and investor. A is incorrect because the compensation structures for alternative investments are more complex, not less complex, than those for traditional investments. B is incorrect because the compensation structures for alternative investments are more complex than, not equally complex as, those for traditional investments.

2. Identify the following statement as true or false: Limited partners (LPs) are involved in the management of the alternative investment fund in which they invest; they assist the general partner (GP) in the operations and decisions of the fund.

A. True
B. False

Hide Solution

Solution:

False. LPs play passive roles and are not involved in the management of the fund (although co-investment rights allow LPs to make additional direct investments in the portfolio companies); the operations and decisions of the fund are controlled solely by the GP.

3. Calculate the general partner's performance fee earned based on the following terms:

Single-period fund rate of return	20%
Hard hurdle rate	10%
GP performance fee	18%
Catch-up clause	none

A. 1.6%
B. 1.8%
C. 2.0%

Hide Solution

Solution:

The correct answer is B, 1.8%, determined as follows:

A GP's rate of return when there is no catch-up clause is calculated as

$$r_{GP}=\max[0, p(r - r_h)],$$

where

Symbol	Stands for
r_{GP}	GP's rate of return
p	GP's performance fee

Rate Your Confidence

Category
Alternative Investment Features, Methods, and Structures

Related Questions:
Practice questions related to this topic

Using the terms noted results in a rate of return for the GP of 1.8%:

r_{GP} = max[0, 18%(20% – 10%)].

r_{GP} = 1.8%.

A is incorrect because it is calculated using a single-period fund rate of return of 18%, a hard hurdle rate of 10%, and a GP performance fee of 20%.

C is incorrect because it is calculated using a single-period fund rate of return of 18%, a hard hurdle rate of 8%, and a GP performance fee of 20%.

4. Determine the correct answers to fill in the blanks: A _____agrees to manage a fund's operations under an agreed standard of care and to perform such activities as buying or selling assets, borrowing funds, establishing reserves, or entering into contracts on behalf of the fund. A _____ establishes the terms of a limited partnership and governs the actions and decisions of the limited partnership.

Hide Solution

Solution:

A *general partner* agrees to manage a fund's operations under an agreed standard of care and to perform such activities as buying or selling assets, borrowing funds, establishing reserves, or entering into contracts on behalf of the fund. A *limited partnership agreement (LPA)* establishes the terms of a limited partnership and governs the actions and decisions of the limited partnership.

5. Identify the investment type in which each of the following investments *best* fits.

Investment	Traditional Investment	Alternative Investment
A. Alibaba shares traded on the Frankfurt Stock Exchange		
B. Real estate holdings		
C. Hedge fund shares invested in common stock		
D. An investment in an infrastructure project via a public–private partnership		
E. The most junior tranche in an asset-backed security		

Hide Solution

Solution:

Investment	Traditional Investment	Alternative Investment
A.	Publicly traded equity shares are a traditional, not an alternative, investment.	
B.		Real estate is a real, tangible physical asset that will generate current and/or future cash flows.
C.		Hedge funds are private investment vehicles, not traditional ones, even though they may invest in public equities or fixed income, private capital, and/or real assets. They are distinguished by their investment

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

D.		Infrastructure is a special type of real asset typically involving land, buildings, and other long-lived fixed assets that are intended for public use and provide essential services. When private investors get involved in such projects, they participate through a public–private partnership.
E.	The most junior tranche in an asset-backed security is still a fixed-income instrument. Fixed-income instruments are traditional investments.	

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{PE} PRIVATE EQUITY OVERVIEW

The Bloomberg PE function allows you to view the two key private equity structures.

> "PE <GO> is a search tool that provides a starting point for accessing the private equity functions and data available on the Bloomberg Professional service. PE is divided into a toolbar and four sections. The toolbar allows you to access a cheat sheet of all the available private equity functions and access the PE Monitor to create a list of PE funds. The ticker search allows you to search for private equity general partners, limited partners, funds, and frequently asked questions. The PE Brief section lets you download or sign up for the PE brief and the PE Activity Feed displays a list of recent deals, funds, and commitments. You can also perform additional private equity analysis in the related function links in the sidebar." -Bloomberg

To explore this function, type PE into the Bloomberg command line and press Enter or <GO>. View the two key structures in the left navigation panel using the Limited Partner and General Partner screening tool.

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Alternative Investment Features, Methods, and Structures

Related Questions:

Practice questions related to this topic